

WATER RATE COMPUTATION FOR REMPARK WATER SERVICE

FULL COST RECOVERY (All expenses charged to water service fee)

GENERAL					
REVENUE (INCOME)		-	EXPENSES	=	SAVINGS
					(For expansion, Price escalation)
1. Membership Fees			1. Operating		
2. Water Bill Payments			2. Depreciation		
3. Connection/Reconnection Fees			3. Inflation		
4. Fines/Penalties			4. Donations		
5. Donations			5. Fines		
6. Grants			6. Amortization		

Date :

Enter data

Output

Fixed data

1 REVENUES

1.1 Projected Water Volume Consumed:

No. of Households, (HH)	=	80	
Ave. Household Size	=	5	
Total Number of Persons (Present)	=	400	
Water Consumption per Person	=	60	/day
Projected Daily Water Use	=	24,000.00	liters
Projected Monthly Water Use	=	720,000.00	liters or
		720.00	cu. m.

2 EXPENSES

2.1 Operating Cost:

Number of Staff	=	4	
a. Honorarium	=	PhP 14,850.00	/month
b. Transportation	=	100.00	/month
c. Labor/Services	=	100.00	/month
d. Communication	=		/month
e. Per Diem	=		/month
f. Office Supplies	=	50.00	/month
g. Spare Parts (Chemicals)	=	200.00	/month
h. Representation	=		/month
i. Tools/Equipment/Furniture	=		/month
j. Light/ Power	=	8,000.00	/month
k. Maintenance	=	200.00	

Technical Staff:	No.	Rate	Total
Manager	1	150	150
Plumber	1	100	100
Meter Reader/Collector	1	75	75
Bookkeeper			0
Secretary			0
Treasurer			0
Pump Operator	1	170	170
Tank Watchman			0
Total	4		495

TOTAL = PhP **23,500.00** /month

2.2 Depreciation Cost:

System Components	Cost Mat's & Labor (PhP)	Service Life* (yr)	% of Cost to be depreciated	Depreciation (PhP)	
				Yearly	Monthly
1. Spring Box		25	15	-	-
2. Well and Head		25	15	-	-
3. Pump and Accessories	80,000.00	5	100	16,000.00	1,333.33
4. Pump Control House	5,000.00	30	15	25.00	2.08
5. Chlorinator	25,000.00	3	100	8,333.33	694.44
6. Transmission Pipeline	60,000.00	25	10	240.00	20.00
7. Water Tank	90,000.00	50	15	270.00	22.50
8. Distribution pipeline	40,000.00	25	10	160.00	13.33
9. Tapstands		10	0	-	-
10. Valves and Boxes		10	10	-	-
11. Pipe Supports		15	10	-	-
12. Tools/Equipment		15	10	-	-
TOTAL (Monthly)	300,000.00			25,028.33	2,085.69

* Economic / Usable Life

2.3 Amortization Cost

NOTE: If grant, no need to compute. However, if loan, add monthly amortization amount to the "Expense".

2.4 Inflation Cost

Inflation Cost = Inflation rate of the month x (Operating cost + Depreciation cost)

Inflation rate = 10% (the latest or the highest monthly figure from NEDA)

Total Expenses = (PhP **23,500.00** + PhP **2,085.69**)
= PhP **25,585.69**

Inflation Cost = PhP **25,585.69** x 10%
= PhP **2,558.57** / month

Summary of Expenses:

Operating Cost	=	PhP	23,500.00	/month
Depreciation Cost	=	PhP	2,085.69	/month
Inflation Cost	=	PhP	2,558.57	/month
Amortization Cost	=	PhP		/month
	=	PhP	28,144.26	/month

OTHER POSSIBLE ITEMS TO BE INCLUDED UNDER ITEM EXPENSE:

- 2.5 Benefits
- 2.6 Watershed Management
- 2.7 Climate Change
- 2.8 Capability-Building

3 WATER RATE

Projected Water Volume Consumed (cu. m.)	=	720.00	/month
Total Expenses (PhP)	=	28,144.26	/month

Water Rate = Total Expenses / Projected Water Volume Consumed

= $\frac{28,144.26}{720.00}$

= PhP 39.09 / Cu. M.

WATER RATE (Base Rate)			
1.0 - Cu. M.	=	PhP	39.09
1.0 - Drum (200 Lit)	=	PhP	7.82
1.0 - Container (20 Lit)	=	PhP	0.78
1.0 - Gallon (4 Lit)	=	PhP	0.16
1.0 - Liter	=	PhP	0.04

Computation for base price per service classification.				
Tapstand (Communal)	=	Base rate	= PhP	39.09
Residential	=	Base rate + 10%	= PhP	43.00
Commercial/Industrial	=	Base rate + 20%	= PhP	46.91

WATER RATE SCHEDULE

RATE (Increasing Block) (PhP / cu. m.)				
Service Classification	Tapstand	Residential	Commerical / Industrial	
Basic Rate (PhP)	39.09	43.00	46.91	
Min. Vol. = 3.0	117.27	128.99	140.72	
Volume (Cu, M.)	Price in excess of the minimum volume (PhP)			
1.0 - 5.0	43.00	47.30	51.60	
5.1 - 10.0	47.30	52.03	56.76	
10.1 - 15.0	52.03	57.23	62.43	
15.1 - 20.0	57.23	62.95	68.68	

20.1 - Above	62.95	69.25	75.54
--------------	-------	-------	-------

Note: An increase of 10% is added to the basic rate of each service classification for the rate of the first bracket of excess volume of water (1.0 -5.0). The rate of the next bracket of excess volume (5.1 - 10.0) is computed by adding 10% to the preceding volume bracket rate. This method is applied to all service class.

Example :

Data: Tapstand Consumption
Volume of water consumed (in one month) = 5.0 cu. m.
Compute for the excess volume of water = Volume of water consumed - Minimum volume of water
= 5.0 - 3.0
= 2.0 cu. m.

Compute amount to be billed for water only :

Amount to be paid as minimum	=	3.0	x	PhP	21.88	PhP	=	65.64
Amount to be paid for the excess volume	=	2.0	x	PhP	24.06	PhP	=	48.12
Total amount to be paid	=					PhP	=	113.76